Portugal's Economic and Human Development: A Century of Transformation

Task 5 — AID Project 2026

Group 29

A. Long-run growth; analyze GDP per capita for Portugal and comparison countries since 1900, by year and decade. Annotate key events that explain turning points

Rather than going through every country, this analysis focuses on events that hit several countries at once and left a visible mark on GDP per capita. Portugal's own trajectory is covered in 7A.

In Western Europe, the common shocks are easy to spot. World War I (1914–1918) caused sharp falls in Belgium, France and Germany, while neutral Spain was barely affected. The Great Depression shows up from 1930, with declines through 1931–32 in most countries, and World War II (1940–1945) produced the deepest collapses in the series, especially in Germany, France, Italy and Greece. These were followed by strong rebounds in 1946, such as France (49.8%), Greece (47.8%) and Italy (34.4%). Growth was then at its strongest between 1950 and 1973, slowed after the 1973 oil crisis, and was briefly interrupted in the early 1990s. The 2008 global financial crisis (visible in 2009) and COVID-19 (2020) hit every country, but the 2011–2013 sovereign debt crisis split the region: Greece, Italy, Spain and Portugal fell, while Belgium, France and Germany recovered quickly. The collapse of the USSR (1989–1991) had little visible effect here, with the exception of Germany, which dipped in 1990 around reunification. In levels, nearly all of these countries are richer than Portugal. Greece is the exception, with a comparable level and below Portugal since 2011.

Central and Eastern Europe follows a similar pattern up to the 1980s: volatile early growth interrupted by the two World Wars, steady growth afterwards, and a slight hiccup in the 1980s. The fall of the USSR then brought a much sharper decline in the early 1990s, followed by strong growth. The Post-Soviet countries have data only from 1980 and show the same transition collapse in the early 1990s, followed by rapid growth. For both groups, 1989–1991 is the main turning point, and it hardly applies to Western Europe.

Overall, Portugal's GDP per capita is lower than Western Europe's and, since the 1990s, is closer to that of the Central/Eastern European and Post-Soviet countries. Its trajectory, however, resembles that of Western Europe, with no transition collapse and the same exposure to the 2009, 2011–13 and 2020 shocks.

B. European comparison; analyze GDP, GNI, Life expectancy of Portugal versus Western European countries since 1975 and versus Eastern European countries from 1990 onward

GDP – Western Europe
Total GDP grows steadily across the region, with a few visible interruptions. A dip in 1993 affects most countries. The global financial crisis shows up in 2009, the sovereign debt crisis hits Portugal, Spain, Italy and Greece in 2011–2013, and COVID-19 causes a sharp fall in 2020 followed by a quick

rebound. In size, Portugal is only comparable to Greece. It started at 87.8% of Greece's GDP in 1975 and ended at 112.1% in 2022, with Greece briefly ahead in the 2000s. Ireland's GDP is distorted by multinational activity, and Portugal has about twice its population, so it is not a reliable comparator.

GDP – Eastern Europe
GDP falls in 1991 and 1992 in every country except Portugal (Poland only in the first year), reflecting the end of the communist regimes and the dissolution of the USSR. Strong growth follows, interrupted by the 2009 crisis (except in Poland), by 2012–2013 (felt more in Czechia and Hungary) and by COVID-19 in 2020. Poland stands out as far larger than the rest, while Portugal's economic size is closest to Czechia's and Hungary's. One thing to note is that all of Eastern Europe apart from Poland present a higher GDP growth between 1990 and 2022.

GNI – Western Europe
Because GNI is measured in current US dollars, most of its swings have no recorded events that could support an explanation. It falls in every country in the early 1980s, jumps in 1986–88, drops again from 1998 to 2002 and surges between 2003 and 2008. It then stagnates around the financial crisis, declines in 2011–2013 and 2015–2017, rises again in 2018–2019, falls in 2020 and recovers afterwards, with weaker years in 2023–24. Portugal follows the common pattern, with Ireland standing apart from 2013 on. In levels, Portugal ranks between Greece and Spain, with Greece somewhat of an outlier after the sovereign debt crisis and the multiple Troika bailouts.

GNI – Eastern Europe
Small decreases appear in Hungary in 1991 and Romania in 1993, probably related to the transition after the USSR fall. These are followed by strong growth until 1997, a slowdown until 2002, and a new acceleration until 2008, when the financial crisis reduces it. A decline around 2016 and renewed growth, interrupted only by 2020, follow. Portugal follows more or less the same pattern. Its GNI per capita grew about 4.2 times between 1990 and 2025, the smallest increase of the group, as the Eastern countries started from much lower levels.

Life expectancy – Western Europe
Life expectancy rises almost every year in all countries, with all of them following a similar curve and a swing in 2020–2022 due to COVID-19. In 1975 Portugal was clearly the lowest (68.3 years vs 71.3 in Germany, the second lowest), but it ended at 82.4 in 2024, close to the best (Italy 83.95, Spain 83.89) and ahead of Belgium, Greece and Germany. Gains have actually slowed in the 21st century in most countries.

Life expectancy – Eastern Europe
The pattern is much the same as in the West. Romania has a few years of decline early on, but after that growth is nearly continuous in every country, with a visible hit in COVID-19. Portugal started with the highest value (73.97 years in 1990) and has kept its lead (82.38 in 2024), which shows that, in life expectancy, it is closer to Western Europe than to Eastern Europe.

C. Structural transformation; analyze agriculture, industry, manufacturing and services as a share of added pct GDP, using the sector hierarchy drill-down

Portugal and the EU (Benchmark)
Between 1995 and 2025, Portugal shows a textbook structural transformation: agriculture falls from 4.8% to 2.0% of GDP, industry from 24.8% to 18.2% (manufacturing from 15.9% to 11.3%) and services rise from 58.5% to 66.5%. Since manufacturing is part of industry, the two series naturally move together. The EU average follows the same direction, but more gently (services - +4.9% against +8.0% in Portugal), so Portugal was catching up. Its agricultural share went from almost twice the EU's (4.8%

vs 2.5%) to a similar level (2.0% vs 1.6%), and its services share ended slightly above (66.6% vs 65.9%). Industry is the exception, with Portugal still below the EU (18.3% vs 22.2).

Central/Eastern Europe
The direction is the same, but the differences between countries were much larger at the start. In 1995, agriculture ranged from 4.0% to 18.2% and services from 40.3% to 51.8%, whereas in 2025 they ranged only from 2.0% to 3.0% and from 59.7% to 61.7%. These countries remain more industrial than Portugal (23.0–28.7% against 18.3%) and less service-based. Hungary started with a high agricultural share (7.3%, second highest in the group) and reached 2.7%, near Portugal, Poland and Czechia. Romania is the outlier, with agriculture at 21.8% and industry at 45.9% in 1990 (18.2% and 36.4% in 1995, against 7.3% and 35.1% for the next highest), and a less smooth path. Between 2006 and 2011 its industry share rose again (reaching 40.2%), with manufacturing jumping in 2010–11 and pushing services down to 42.3%, before everything normalized in 2012. It ended close to the others, with manufacturing (11.8%) almost equal to Portugal's (11.3%), after the largest shift in the dataset (services +21.5% since 1995).

Post-Soviet
The trend is the same. Lithuania and Latvia started with much larger agricultural shares (9.8% and 8.1%, against 4.1% in Estonia), while manufacturing was similar across the three (17–18%). By 2025 their services shares (64–66%) and industry shares (18.7–22.1%) are close to Portugal's, and Latvia still has the highest agricultural share of the whole dataset (4.0%).

Western Europe
The pattern is again similar. France, the only country with data from 1960, went from 10.1% agriculture and 47.0% services to 1.4% and 70.9%. Belgium and Germany started with about 1% agriculture, while Greece (6.9%) and Ireland (5.6%) started higher, with Portugal in between. Greece reduced it but still has the highest share in the region (3.6%), which even rose after the 2008 crisis. Spain and Greece show a visible jump in services in 2008–09 driven by falling industry. Ireland is the exception: after growing its services share until 2013, its structure flipped in 2015 back to manufacturing (33.9% in 2025), probably due to the country's strong multinational activity.

Across all groups, services rose in every country in 2009 because industry took a hit during the financial crisis.